

you've got a terrific investment.

You couldn't raise prices the way Philip Morris does in the apparel industry or the fast-food industry or else you'd soon be out of business. But Philip Morris gets progressively richer and richer and can't find enough things to do with the cash that piles up. The company doesn't have to invest in expensive blast furnaces, and it doesn't spend a lot to make a little. Moreover, the company's costs were greatly reduced after the government told cigarette companies they couldn't advertise on television! This is one time where there's so much loose money around that even diworseification hasn't hurt the shareholders.

Philip Morris bought Miller Brewing and got mediocre results, then duplicated the feat with General Foods. Seven-Up was another disappointment, and still Philip Morris stock shot straight up. On October 30, 1988, Philip Morris announced that it had signed a definitive agreement to purchase Kraft, the packaged foods company, for \$13 billion. Despite the price tag of the acquisition (which amounted to over 20 times Kraft's 1988 earnings), the stock market took only 5% off Philip Morris's stock price, recognizing that the company's cash flow is so powerful it could pay off all the acquisition debt within five years. The big thing that may stop it is when the families of smoking victims start winning major lawsuit settlements.

This company has forty years of progressively better earnings and would sell at a p/e of 15 or higher if it weren't for the fear of lawsuits and the negative publicity about cigarette companies that keeps many investors away. It's this sort of emotionally charged situation that favors the bargain hunters, including me. The numbers couldn't be better. Today you can still buy this champion growth company at a p/e of 10, or half its growth rate.

One more thing about growth rate: all else being equal, a 20-percent grower selling at 20 times earnings (a p/e of 20) is a much better buy than a 10-percent grower selling at 10 times earnings (a p/e of 10). This may sound like an esoteric point, but it's important to understand what happens to the earnings of the faster growers that propels the stock price. Look at the widening gap in earnings between a 20-percent grower and a 10-percent grower that both start off with the same \$1 a share in earnings: